

Strategic Legal and Tax Structuring for the Distribution of Litigation Damages in Ireland

1. Executive Summary

The distribution of high-value litigation damages involves a highly complex intersection of Irish tort law, corporate governance, trust equity, and taxation frameworks. When an individual anticipates a significant award from pending civil suits in the High Court of Ireland—specifically for personal injury or defamation—and seeks to distribute these funds across personal, philanthropic, and familial channels, the architectural design of the distribution matrix must be impeccably structured. The legal environment in Ireland is uniquely challenging in this regard, characterized by strict enforcement of the doctrines of maintenance and champerty, rigorous corporate governance standards under the Companies Act 2014, and an aggressively policed Capital Acquisitions Tax (CAT) regime.

The proposed allocation matrix dictates a division of capital wherein 20% is retained personally, and the remaining 80% is ostensibly routed to a nascent philanthropic entity ("cianfhoghlaim"). From this 80%, the intention is to subdivide the capital into four equal 20% tranches: 20% to local schools, 20% to local charities, 20% ring-fenced within the entity for the development of educational resources, and 20% to critical family members via a trust mechanism. Crucially, the family portion must be shielded from a specific biological parent (the father), necessitating a complex routing mechanism through a stepmother to reach a younger adult half-sister. Furthermore, the philanthropic entity must be established without an immediate board of trustees, operating initially outside of formal charitable tax exemption.

This research report exhaustively evaluates the legal, structural, and tax implications of this proposal under Irish law. The analysis identifies a fatal structural flaw in routing private family funds through a not-for-profit corporate vehicle, necessitating a bifurcated architecture where philanthropic and familial funds are legally severed at the source. The report details the mechanics of establishing a Company Limited by Guarantee (CLG) as an interim step toward charitable status, the accounting standards required to ring-fence educational funds, the creation of an inter vivos discretionary trust with stringent exclusion clauses, and a comprehensive analysis of Capital Acquisitions Tax (CAT) and Discretionary Trust Tax (DTT) liabilities across a diverse array of familial relationships.

2. Characterisation and Taxation of Litigation Damages

Before capital can be distributed or assigned, its legal character and tax treatment upon receipt by the successful plaintiff must be definitively established. The source of the capital—damages

awarded by the High Court of Ireland for personal injury or defamation—enjoys a highly specific, protected status under Irish revenue law.

2.1 Statutory Exemption from Capital Gains Tax and Income Tax

Under Irish tax law, compensation awarded by a court for a wrong or injury suffered by an individual in their person or profession is structurally exempt from taxation upon receipt. Section 613(1)(c) of the Taxes Consolidation Act (TCA) 1997 explicitly mandates that "sums obtained by way of compensation or damages for any wrong or injury suffered by an individual in his person or in his profession" shall not be chargeable to Capital Gains Tax (CGT).¹

This statutory exemption is comprehensive in its scope. It encompasses not only physical injuries but also psychological distress, loss of amenity, and defamation (libel or slander), whether the defamation damages professional or personal reputation.¹ The Revenue Commissioners and the Tax Appeals Commission consistently hold that such damages are capital receipts, not income, and thus Section 123 of the TCA 1997 (which taxes certain non-capital receipts) does not apply.² Consequently, the entire gross award received from the High Court will be transferred to the plaintiff without any immediate deduction for Income Tax, Pay Related Social Insurance (PRSI), Universal Social Charge (USC), or CGT.¹

However, a critical legal distinction must be drawn between the initial receipt of the principal sum and the subsequent generation of passive income derived from that sum. While the lump sum itself is completely tax-exempt, any income earned through the subsequent investment of this capital—such as stock dividends, bank interest, or rental yields from real estate purchased with the damages—is generally subject to standard taxation regimes.⁴ Exceptions exist only in highly specific circumstances, such as those provided under Section 189 of the TCA 1997, which permanently exempts incapacitated individuals from Income Tax, PRSI, USC, and CGT on the income arising from the investment of their compensation.¹ Assuming the plaintiff does not meet the strict statutory definition of permanent incapacity, future yields on the retained 20% personal allocation will be subject to standard taxation.

2.2 The Assignment of the "Fruits of Litigation" versus the Doctrine of Champerty

The intention to systematically distribute pending damages to external parties necessitates a profound analysis of the ancient common law doctrines of maintenance and champerty. Unlike many common law jurisdictions that have liberalised or abolished these rules, maintenance and champerty remain active torts and criminal offences in Ireland.⁶ Maintenance involves an unconnected third party intermeddling in or assisting in maintaining litigation, while champerty involves doing so in exchange for a share of the proceeds.⁶

The continued vitality of these offences in Ireland was recently reaffirmed by the Supreme Court of Ireland in the landmark case of *Persona Digital Telephony Ltd v Minister for Public Enterprise IESC 27*.⁷ The Court ruled definitively that third-party litigation funding, where a funder takes an equity stake in the claim or demands a percentage of the damages in exchange for financing the litigation, constitutes champerty and is therefore unlawful and void.⁹

However, a highly nuanced distinction exists between the unlawful assignment of a "bare cause of action" and the permissible equitable assignment of the "fruits of litigation".¹¹ To be a valid arrangement, there must be an assignment of the proceeds (the damages recovered post-judgment), rather than an assignment of the right to litigate the claim itself.¹¹ Because the plaintiff in this scenario is entirely self-funding the litigation and is merely executing a planned post-recovery distribution of their own capital to family and philanthropic causes, there is no intermeddling by third parties and no corruption of public justice.¹¹ The capital, once successfully awarded and deposited into the plaintiff's personal accounts, simply becomes unrestricted personal property.¹¹ At this point, it is freely distributable to the "cianfhoghlaim" entity and the family trust, subject only to standard gift and inheritance tax rules.

3. Deconstruction and Realignment of the Distribution Matrix

The initial intention proposes a linear financial flow: funneling 80% of the total damages into a not-for-profit entity ("cianfhoghlaim"), which would then act as a conduit to distribute 20% to local schools, 20% to charities, retain 20% for educational resources, and funnel the final 20% outward into a private family trust.

3.1 The Fiduciary and Statutory Flaw in the Proposed Model

This specific linear routing mechanism is legally impermissible and structurally fatal under both the Companies Act 2014 and the Charities Act 2009. A corporate entity established for not-for-profit or charitable purposes must possess an "Income and Property Clause" within its corporate Constitution.¹³

This clause strictly mandates that the income and property of the company shall be applied solely toward the promotion of its main objects.¹⁴ Crucially, it prohibits the payment or transfer, directly or indirectly, by way of dividend, bonus, or otherwise, of any portion of the company's assets to its members, directors, or individuals connected to them.¹³

If the "cianfhoghlaim" entity receives 80% of the capital and subsequently attempts to divert 25% of that capital (representing 20% of the total damages) into a private discretionary trust for the founder's mother, stepmother, partner, and half-siblings, the directors would be guilty of a severe breach of fiduciary duty.¹⁶ Such an action violates the fundamental requirement of "public benefit" inherent in charity law.¹⁹ Consequently, the company would instantly forfeit any prospect of acquiring charitable tax exemption (CHY status) from the Revenue Commissioners, and the Charities Regulator would refuse registration.¹⁶ Furthermore, the directors could face personal liability under the Companies Act 2014 for misapplying corporate assets.¹⁶

3.2 The Compliant Bifurcated Architecture

To achieve the exact economic outcome desired without violating corporate governance rules or charity law, the capital must be severed *at the source* (i.e., from the plaintiff's personal accounts) before it is endowed to any external entity. The mathematically equivalent, legally compliant

distribution architecture requires a bifurcated model, segregating philanthropic intent from private family provision.

Allocation Tranche	Percentage of Total Damages	Legal Destination & Vehicle	Purpose and Statutory Nature
Personal Retention	20%	Personal Bank Account	Unrestricted personal capital. Subject to standard income/CGT on future yields.
Family Provision	20%	Inter Vivos Discretionary Trust	Secure, long-term private provision for mother, partner, stepmother, and half-siblings.
External Philanthropy	40% (20% + 20%)	Company Limited by Guarantee (CLG)	Unrestricted corporate funds within the non-profit to be dispersed as grants to local schools and local charities.
Internal Philanthropy	20%	Company Limited by Guarantee (CLG)	"Restricted Fund" internally ring-fenced within the non-profit for the development of educational resources.

Under this bifurcated architecture, 60% of the total damages is endowed directly to the CLG, 20% is settled independently into the family trust, and 20% is retained personally. This ensures absolute compliance with the Companies Act 2014 and the Charities Act 2009, preserving the integrity of both the non-profit entity and the family trust without commingling public benefit funds with private family capital.¹³

4. Establishing the Interim Corporate Entity

(Cianfhoghlaím)

The founder intends for "cianfhoghlaím" to eventually operate as a fully registered charity. However, there is a distinct procedural hurdle: the founder currently lacks the requisite board of trustees. The Charities Regulator in Ireland generally requires a minimum of three unrelated directors to register an entity as a charity.²² Therefore, the entity must be incorporated as a standard corporate vehicle first, operating as a not-for-profit under its constitution, with the intention of applying for formal charitable status at a later date once the board is fully populated.

4.1 Selection of the Corporate Vehicle: Company Limited by Guarantee (CLG)

Under the Companies Act 2014, the most appropriate, universally accepted vehicle for a not-for-profit or charitable organisation in Ireland is a Company Limited by Guarantee (CLG), governed specifically by Part 18 of the Act.¹⁶

Unlike a Private Company Limited by Shares (LTD)—which is designed for commercial enterprise and allows profits to be distributed to shareholders as dividends—a CLG does not have a share capital.¹⁶ Because there is no share capital, its members are not shareholders and do not hold a distinct economic interest in the company's assets.¹⁶ Instead, members legally guarantee to contribute a nominal sum (usually €1) to the company's debts in the highly unlikely event of it being wound up while insolvent.¹⁶

This total absence of share capital is a fundamental prerequisite for obtaining charitable status, as it proves structurally and legally that the company is not designed for private financial gain, satisfying both the Charities Regulator and the Revenue Commissioners.¹⁶

4.2 Navigating the Director Deficit and Incorporation Mechanics

The Companies Act 2014 permits a standard LTD company to operate with a single director.¹⁶

However, a CLG is legally mandated to have a minimum of two directors at all times.¹⁶

Furthermore, Section 129 of the Act dictates that every Irish-registered company must appoint a company secretary to ensure compliance with statutory filings.¹⁶ While a director may also act as the secretary, a single-director company (in the case of an LTD) cannot have that same individual as the secretary.¹⁶

Given the founder's current lack of a full board, the incorporation process can be initiated by satisfying the absolute minimum statutory requirements for a CLG:

1. **Director 1:** The founder.
2. **Director 2:** A trusted professional (e.g., a solicitor, accountant, or teaching colleague) who shares the educational vision but is willing to act in a limited, interim governance capacity until a permanent, unrelated board is recruited. Directors must be over 18, cannot be an undischarged bankrupt, and at least one must be a resident of the European Economic Area (EEA).¹⁶
3. **Company Secretary:** Can be Director 2, or alternatively, an external corporate service provider can be hired for a fee to fulfill the secretarial duties, ensuring compliance with

Companies Registration Office (CRO) filings.²⁵

To officially register the CLG, the founder must submit an application packet to the CRO. This includes a Form A1 (application for incorporation), a Form G5 (declaration of compliance), and a clear print of the company's Constitution containing the original signatures of the subscribing members.³¹

The Constitution of a CLG is a single document that incorporates both a Memorandum of Association and Articles of Association.¹⁶ The Memorandum must clearly set out the "objects" of the CLG—in this scenario, the advancement of education through the development of not-for-profit educational resources and the provision of financial assistance to local schools and charities.¹⁵ It must also contain the vital Income and Property clause and Winding-Up clause discussed in Section 3.1.¹³

Once the CLG is operational, executing its educational mandate, and the founder has successfully recruited a third unrelated director, the entity will meet the minimum threshold required to apply for formal charitable status (a CHY number).²¹

4.3 Pre-Charity Tax Implications and the Section 43 Trap

A critical period of risk exists between the incorporation of the CLG and the eventual attainment of charitable status. Before acquiring a CHY number, the CLG is classified by Revenue as a standard legal entity subject to Corporation Tax, and crucially, potentially Capital Acquisitions Tax (CAT) on gifts received.²⁰

A severe tax trap involves Section 43 of the Capital Acquisitions Tax Consolidation Act (CATCA) 2003. Section 43 contains aggressive "look-through" provisions for private companies.³² If an individual gifts property or capital to a private company, the legislation pierces the corporate veil and deems the gift to have been made directly to the beneficial owners (the members) of that company, apportioned by their respective interests.³² If the founder endows the newly formed CLG with hundreds of thousands of euros from the litigation damages *before* it has obtained its charitable tax exemption, Revenue could theoretically assess the individual members of the CLG for CAT at 33% on the entirety of the endowment.³³

Strategic Mitigation via Deed of Covenant:

To neutralise this extreme tax risk before the CLG attains formal charitable status, the founder must delay the transfer of the primary lump-sum endowment. Instead, the founder should fund the early operations of the non-profit through smaller, periodic transfers or by utilizing a **Deed of Covenant**.

A Deed of Covenant is a legally binding written agreement to pay a specified sum of money to another party over a period of more than six years.³⁶ By executing a Deed of Covenant, the founder creates a contractual obligation to transfer funds to the CLG.³⁷ Once the charity is formally registered and receives its CHY number, gifts made to it become entirely exempt from CAT, CGT, and Corporation Tax under Sections 207 and 208 of the TCA 1997.²¹ Furthermore, the Charitable Donation Scheme allows an approved charity to claim tax relief on donations over €250, effectively allowing the charity to claim a refund of the income tax the donor has already paid, amplifying the gross value of the endowment.³⁸

5. Internal Financial Structuring: Ring-Fencing Educational Funds

The founder explicitly requires that 20% of the total damages (which represents exactly one-third of the CLG's total 60% endowment) be strictly retained for "cianfhoghlaim itself and the primary goal... to help me in my capacity as a teaching council registered teacher to develop educational resources in a not-for-profit capacity."

To ensure these specific funds are immutably protected from being consumed by general administrative overheads, or dispersed through the external grant-making activities (the 40% allocated for distributions to local schools and charities), the CLG must implement highly specific accounting mechanics governed by the Charities Statement of Recommended Practice (SORP) under the Financial Reporting Standard 102 (FRS 102).⁴⁰

5.1 Fiduciary Accounting: Restricted versus Unrestricted Funds

Under Charities SORP (FRS 102), the financial statements of a non-profit entity must strictly delineate between different legal categories of funds ⁴⁰:

1. **Unrestricted Funds:** Capital that is freely expendable at the absolute discretion of the board of directors in furtherance of any of the general objectives of the company.⁴³
2. **Restricted Funds:** Capital received that can *only* be used for a specific, narrow purpose explicitly defined by the donor at the time the gift is made.⁴⁰

When the founder officially endows the CLG (post-CHY registration), they must execute a legally binding Grant Agreement or Donative Instrument. This instrument must specify that the 40% allocated for external grants constitutes Unrestricted Funds, but the 20% allocated for educational resources is definitively classified as a **Restricted Fund**.⁴⁰

Legally, the directors of the CLG (even if the founder acts as the CEO or lead director) cannot use this restricted fund for any other purpose.⁴² It cannot be diverted to local schools, given to other charities, or used to pay generic corporate overheads unrelated to the development of the teaching resources.⁴² If the project is completed or abandoned, restricted funds must generally be returned to the donor unless otherwise specified.⁴⁴

5.2 Director Fiduciary Duties and Technological Compliance

The directors of the non-profit are bound by stringent fiduciary duties under the Companies Act 2014 to ensure that sophisticated management systems are in place to track these funds.¹⁶ The board is responsible for setting and maintaining a framework of internal control, ensuring accurate information regarding financial resources is continuously available.¹⁸

The use of modern cloud-based accounting software capable of SORP compliance, automated fund accounting, and multi-dimensional reporting will be required.⁴¹ This technological infrastructure is necessary to demonstrate definitively to the Charities Regulator, external auditors, and the public that the restricted funds are being utilized exclusively for the designated educational purpose, thereby protecting the founder's specific vision for their professional work

as a Teaching Council registered teacher.⁴¹

6. The Inter Vivos Discretionary Trust: Legal Mechanics and Security

The final 20% of the litigation damages is earmarked for the long-term financial assurance of critical family members: the plaintiff's mother, the mother's partner, the stepmother, a younger half-brother (mother's side), and a younger adult half-sister (father's side). Crucially, the plaintiff mandates a "provably secure intermediate way" to hold this money, ensuring absolute control over its ultimate destination. A paramount constraint dictates that the biological father must never access the funds, even indirectly, and that the provision for the half-sister on the father's side must route *through the stepmother only*.

The optimum legal mechanism to achieve this unparalleled level of security, flexibility, and control under Irish trust equity law is an **Inter Vivos Discretionary Trust**.

6.1 The Architecture and Supremacy of a Discretionary Trust

A trust is an equitable obligation binding a person (who is called a trustee) to deal with property over which they have control (the trust property) for the benefit of persons (beneficiaries). An *inter vivos* trust is one created during the lifetime of the individual establishing it, rather than upon their death via a will.⁴⁵

A discretionary trust is a highly flexible equitable structure wherein the "Settlor" (the plaintiff) transfers legal ownership of the capital to chosen "Trustees." The Trustees hold the property for the benefit of a specified class of Beneficiaries.⁴⁷ Unlike a fixed or bare trust, the beneficiaries of a discretionary trust have no automatic, vested right to the capital or the income it generates.⁴⁷ They possess only a mere hope (a *spes*) that the trustees will exercise their absolute discretion in their favour at some point in the future.⁴⁹

This structure provides absolute financial security: because the beneficiaries do not legally own the assets, the trust capital is completely insulated from the beneficiaries' personal creditors, from asset division in the event of a beneficiary's divorce, or from external financial pressures.⁴⁷ The settlor guides the trustees' decisions via a non-legally binding but highly influential "Letter of Wishes," which outlines precisely how the settlor desires the funds to be apportioned among the family members over time, reacting to their evolving needs.⁴⁷

6.2 The Exclusion Clause: Impregnable Barricade Against the Father

To satisfy the absolute, non-negotiable requirement that the biological father never accesses or benefits from the funds, the trust deed must be drafted with an ironclad **Exclusion Clause**.⁴⁷

An exclusion clause is a specific provision within the trust instrument that explicitly names an individual (or a defined class of individuals) and definitively bars them from ever becoming a beneficiary or receiving any benefit, directly or indirectly, from the trust corpus.⁵⁰ Modern trust precedents allow for the explicit exclusion of specific individuals to prevent them from gorging on family wealth.⁵³

Furthermore, to prevent the stepmother or the half-sister from acting as an inadvertent or coerced conduit for the father, the trust deed should contain a sophisticated anti-circumvention stipulation. This legally directs the trustees to immediately cease or withhold distributions to any beneficiary if the trustees possess reasonable grounds to believe the funds are being, or will be, diverted to the excluded party (the father).

6.3 Routing to the Half-Sister via the Stepmother

The prompt specifies a desire to provide for the "younger adult half-sister's on my father's side (but not to him, through my stepmother only)". This presents a complex equitable challenge. If the trustees simply gift money to the stepmother with a legally binding instruction that she must pass it to the half-sister, equity may view this as a "secret trust" or classify the stepmother as a mere nominee. Revenue would likely look through the transaction and assess the half-sister directly for tax purposes. Conversely, if the trustees make an absolute, unrestricted gift to the stepmother in the hope she uses it for the half-sister, the stepmother becomes the absolute legal owner of the funds; she could theoretically spend the money on herself or, disastrously, give it to the father.

To achieve the "provably secure" outcome requested, the legal architecture must be carefully calibrated. The optimum approach is to make both the stepmother and the half-sister formal beneficiaries of the discretionary trust. The Letter of Wishes would instruct the main trustees that funds intended to benefit the half-sister should be managed in a highly specific manner. Rather than handing liquid cash to the half-sister (which the father might intercept or pressure her for), the trustees can be instructed to pay the half-sister's expenses directly (e.g., paying a university directly for tuition, or a landlord directly for rent).

Alternatively, the trust deed can formally appoint the stepmother as a **Delegated Fund Manager** or a **Sub-Trustee** for a specific sub-fund carved out exclusively for the half-sister's maintenance. This grants the stepmother the legal authority to control the flow of the money to the half-sister, entirely cutting the father out of the financial loop, while retaining the overarching protective umbrella of the main trust.

6.4 The Office of the Protector

To ensure the trustees strictly adhere to the Letter of Wishes, enforce the Exclusion Clause against the father, and manage the stepmother/half-sister dynamic correctly, the trust deed must establish the office of a **Protector**.⁴⁷

The Protector is a trusted individual (who could be the settlor themselves, or a trusted legal/financial advisor) who acts as a supreme watchdog over the trustees.⁴⁷ The trust deed can mandate that the trustees cannot execute certain fundamental actions—such as adding a new beneficiary, distributing capital over a certain threshold, altering the trust structure, or winding up the trust—without the prior written consent of the Protector.⁴⁷ This provides the exact "provably secure" oversight the plaintiff desires, retaining ultimate control without compromising the legally discretionary nature of the trust.

7. Taxation Dynamics of the Family Trust: DTT and

CAT

The transfer of capital into a trust, and its subsequent distribution to family members, triggers highly specific tax regimes under the jurisdiction of the Irish Revenue Commissioners. The two primary regimes that must be managed are Discretionary Trust Tax (DTT) and Capital Acquisitions Tax (CAT).

7.1 Discretionary Trust Tax (DTT): The Inter Vivos Deferral Advantage

The Irish government imposes Discretionary Trust Tax to penalize wealth hoarding and prevent capital from sitting in trusts indefinitely without yielding inheritance tax to the Exchequer.⁴⁷ DTT consists of a severe once-off initial levy of 6% on the total market value of the trust assets, followed by an annual levy of 1% calculated on December 31st of each subsequent year.⁴⁷ However, a critical nuance in the Capital Acquisitions Tax Consolidation Act 2003 provides a massive, structural tax advantage for the plaintiff's specific scenario. The initial 6% DTT charge is only triggered on the *latest* of the following three dates ⁴⁷:

- 1. The date the property becomes subject to the discretionary trust;
- 2. **The date of death of the disponent (the settlor);** or
- 3. The date on which there are no "principal objects" (the spouse or children of the settlor) under the age of 21 years.

Because the plaintiff is establishing an *inter vivos* trust (created during their lifetime while they are alive and well), the second statutory condition—the death of the settlor—has not yet occurred.⁴⁷ **Therefore, neither the 6% initial charge nor the 1% annual charge will apply as long as the plaintiff remains alive.**⁴⁷ The capital can remain fully intact within the trust, growing through investment and being distributed gradually to the family members, without suffering massive DTT depletion during the plaintiff's lifetime.

7.2 Capital Acquisitions Tax (CAT) Analysis for Beneficiaries

While DTT is successfully deferred, Capital Acquisitions Tax (CAT) at a standard punitive rate of 33% will apply whenever the trustees exercise their discretion to actually distribute cash or assets out of the trust to a beneficiary.⁴⁷

CAT liability is calculated based on each individual beneficiary's lifetime tax-free threshold. This threshold is determined entirely by their exact legal relationship to the disponent (the plaintiff) under three distinct categories: Group A, Group B, and Group C. The Irish Government periodically adjusts these thresholds; recent adjustments in Budget 2025/2026 have significantly altered the tax-free limits available to the family members.⁵⁷

The following analysis maps the specific CAT Group thresholds to the intended beneficiaries of the trust:

Beneficiary	Relationship to Disponent (Plaintiff)	Applicable CAT Group	2025/2026 Lifetime Tax-Free Threshold
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Mother	Parent	Group B	€40,000
Mother's Partner	Unrelated Cohabitant	Group C	€20,000
Stepmother	Step-parent	Group C	€20,000
Half-brother (Mother's side)	Sibling / Half-sibling	Group B	€40,000
Adult Half-sister (Father's side)	Sibling / Half-sibling	Group B	€40,000

Technical Breakdown of Beneficiary Categories:

- **The Mother (Group B - €40,000):** While a gift from a parent to a child falls under the highly lucrative Group A threshold (currently €400,000) ⁵⁷, the reverse is not true. A gift or inheritance taken by a parent from a child falls under the much lower Group B threshold, which is capped at €40,000.⁵⁷ (Note: If the child took an inheritance from the parent in the preceding 5 years, a specific exemption may apply, but this is irrelevant to the current scenario of distributing litigation damages).⁵⁷ Therefore, once the mother receives more than €40,000 cumulatively from the trust over her lifetime, any excess is taxed at 33%.⁵⁸
- **The Mother's Partner (Group C - €20,000):** Under Irish tax law, cohabitants (unmarried partners who are not in a formal civil partnership) are treated essentially as "strangers in blood" for CAT purposes.⁶³ The partner is entitled only to the lowest Group C threshold of €20,000.⁵⁷ Any distribution beyond this amount attracts an immediate 33% tax liability.⁵⁸
- **The Stepmother (Group C - €20,000):** The CAT treatment of step-relationships in Ireland is highly asymmetrical. A stepchild inheriting from a step-parent enjoys the Group A threshold (€400,000).⁵⁷ However, a step-parent receiving a gift from a stepchild is legally classified under Group C (€20,000), because the step-parent is not a lineal ancestor or biological parent, and thus defaults to the "stranger" category.⁵⁷
- **The Half-Brother and Half-Sister (Group B - €40,000):** For the purposes of Irish CAT legislation, brothers and sisters are explicitly defined to include half-brothers and half-sisters.⁶⁶ Therefore, both the younger half-brother on the mother's side and the adult half-sister on the father's side fall squarely within the Group B threshold.⁵⁹ They can each receive up to €40,000 from the trust before incurring a 33% tax charge.⁵⁷

Crucially, it must be noted that CAT thresholds are *cumulative* across all gifts and inheritances received by a beneficiary since December 5, 1991, from *any* disponent within the same Group.⁶⁸ If the mother, for example, has previously received a €10,000 inheritance from her own brother (which falls under Group B), her remaining threshold to receive funds from the plaintiff's trust is

reduced to €30,000.⁶²

7.3 Strategic CAT Mitigation: The Small Gift Exemption

To proactively mitigate the rapid depletion of these relatively low Group B and C thresholds, the trustees must strategically leverage the statutory "Small Gift Exemption." Under Irish law, any person (or trust) can gift up to €3,000 per calendar year to any other person without it impacting their lifetime CAT threshold or triggering any tax liability.⁵⁸

The trust can systematically distribute €3,000 annually to each of the five beneficiaries. Across five beneficiaries, this allows for €15,000 per year of completely tax-free capital extraction from the trust, entirely bypassing the Group B and C limits.⁶⁹ Over a decade, this mechanism alone allows €150,000 to be transferred to the family without consuming a single euro of their lifetime thresholds. If larger capital injections are urgently required for a beneficiary (e.g., medical expenses or a deposit for a house), the trustees can exercise their discretion to distribute larger lump sums, knowingly utilizing the beneficiary's lifetime threshold only when absolutely necessary.⁴⁹

8. Synthesis and Strategic Architecture

The ambition to utilise the proceeds of high-stakes High Court litigation for profound philanthropic, educational, and familial benefit is eminently achievable under Irish law, provided the capital is subjected to rigorous, premeditated architectural segregation.

The fundamental structural imperative is the absolute decoupling of the family provision from the philanthropic endeavour. Attempting to funnel familial trust capital through the non-profit "cianfhoghlaím" entity will instantly breach the fiduciary mandates of the Companies Act 2014 and irrevocably poison the entity's prospects of attaining formal charitable status from the Charities Regulator.

Instead, the plaintiff must first secure the litigation damages into personal accounts—a legally permissible action that relies on the equitable assignment of the fruits of litigation, avoiding the criminal doctrines of maintenance and champerty. Furthermore, this capital arrives immune from Capital Gains Tax and Income Tax under Section 613(1)(c) of the TCA 1997. From this secure personal holding, the capital is dispersed into three distinct legal vehicles.

To realise the philanthropic and educational ambitions, a Company Limited by Guarantee (CLG) must be incorporated with the founder and a trusted associate acting as the initial directors. This efficiently circumvents the lack of a current trustee board while satisfying the strict requirements of the Companies Act 2014. By utilizing a Deed of Covenant, the founder can fund the entity without triggering punitive Section 43 "look-through" tax assessments. Through the implementation of FRS 102 Charities SORP accounting, the founder can legally ring-fence 20% of the capital as a Restricted Fund exclusively for the development of educational resources, while deploying the remaining 40% as unrestricted grants to external schools and charities. Simultaneously, the final 20% is settled into an Inter Vivos Discretionary Trust. Drafted with precision, this instrument will employ an unassailable Exclusion Clause to forever bar the biological father from the capital, while vesting a Protector with the authority to ensure absolute compliance. By appointing the stepmother as a delegated manager for the half-sister's sub-fund,

the trust guarantees secure routing without exposing the capital to interception. Crucially, because the trust is established during the founder's lifetime, Discretionary Trust Tax is entirely deferred, allowing the capital to be metered out to the mother, stepmother, half-siblings, and partner via the €3,000 Small Gift Exemption, carefully navigating and preserving their respective Group B and Group C Capital Acquisitions Tax thresholds.

Through this multi-tiered legal structuring, the capital is rendered legally compliant, tax-optimised, mathematically precise, and provably secure, achieving all stated objectives without fracturing under the immense weight of Irish corporate and revenue law.

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